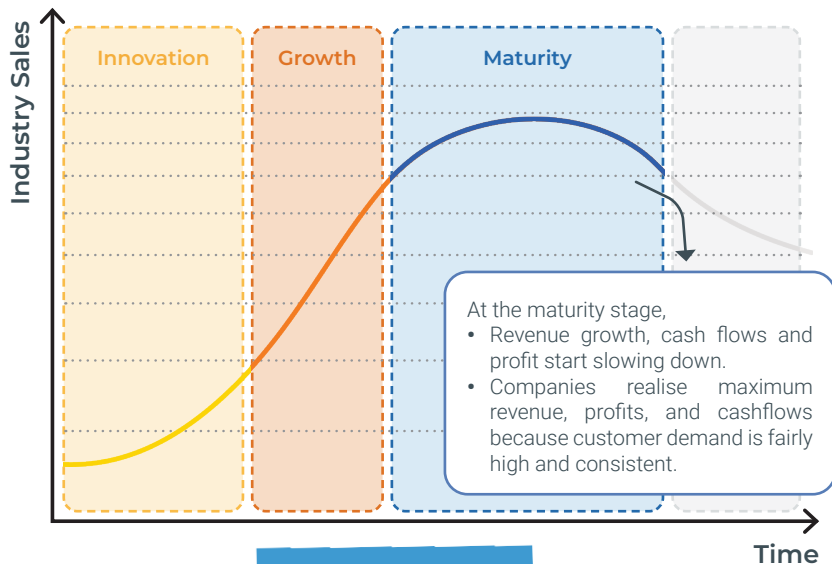


Maturity



A majority of the companies in the industry are well-established, and the industry reaches its saturation point.

Some firms are naturally eliminated as they are unable to grow along with the industry, thus still generating negative cash flows.

Innovations continue in the industry. But they are not as radical as before and may only be slight improvements in colour or formulation to stress the 'new' and 'improved' aspects.

The major characteristics of this stage are:

- Sales increases at a decreasing rate
- Normal promotional expenses
- Uniform and lower prices
- Product modifications
- Dealer support
- Profit margin decreases^[17]

Here, firms must focus on improving the quality of the product and introducing new models. They must also focus on increasing usage among current customers and pursue the development of new uses of the product. They must try to convert non-users into users of the product.